

Can India Become An ELECTRONICS DESIGN HUB?



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After decades of sluggish demand, the Indian electronics industry is on a roll—largely due to increased digitisation (making electronics an inseparable part of almost all types of products) and an insatiable local demand for electronics goods. In fact, India is currently one of the largest growing electronics markets in the world.

With increased affordability, the demand for electronics products in India—such as smart TVs, phones and tablets—has skyrocketed. It is pegged to grow annually at 41 per cent between 2017 and 2020, creating a \$400 billion market, according to a joint study by Assocham and NEC Technologies.

Increased digitisation of products like automobiles and communication equipment has also boosted the demand for electronics. Advanced technologies like the Internet of Things (IoT), artificial intelligence and augmented reality/virtual reality all require electronic components at the heart of their hardware systems.

Methodology

Quantitative and qualitative information about the Indian electronic design industry was collected through secondary research. The findings were analysed and verified through primary research by conducting extensive interviews with industry experts. These senior professionals shared their insights on:

1. Market size
2. Market potential
3. Market challenges

A trend analysis was done on the basis of their inputs.

Growth of the electronics market has also translated into an opportunity for the Indian electronics design industry as the semiconductor design market in India is expected to grow at around 25 per cent annually from \$9.9 billion in 2012 to \$60 billion in 2020 (Fig. 2). While the Indian electronics system

design and manufacturing (ESDM) industry as a whole depends on imports to plug the huge demand-supply gap, domestic design services are still its key strength with huge potential.

Market potential

The growing customer base and increased penetration have provided excellent scope for the growth of Indian electronics design houses. Some of the recent government policies like Make in India and Digital India have instilled confidence and aided this momentum.

Advanced product development focusing on miniaturisation, IoT, automation, LED light-

